(ii) Nationalisation of banks in 1969 and expansion of branches and

(iii) Creation of an elaborate framework of priority sector lending with mandated targets as part of a strategy to meet the savings and credit needs of large sections of the Indian population who had no access to institutional finance.

Given the sheer enormity of the challenge, however, the outcomes of these efforts have so far been mixed.

Recent initiatives include: (i) 'no-frill' account for retail purpose; (ii) simplified KYC (Know Your Customer); (iii) Credit counselling centre (GCC) facilities; (iv) use of NGOs and formation of SHGs; (v) Kisan credit cards services; and (vi) extension of Smart cards.

Every Union Budget since 2007-08 has laid down provisions for funding of financial inclusion goals. The *Rangarajan Committee* also spelt out priorities for meeting financial inclusion objectives. **Two** of the more important approaches in the recent times included the use of technology such as ***smart cards*** and ***mobile telephone banking***. The potential for their spread can be vast especially in combination with 'banking correspondence' approach launched recently.

Financial Literacy:[4] Any policy initiative seeking to afford greater access to financial services to a large segment of the population must necessarily address bridging the existing *knowledge gap* in financial education and literacy. Over the last decade or so, researchers all over the world, especially in the developed countries, have, therefore started to study and explore whether individuals are well-equipped to make financial decisions. Financial education and literacy assumes urgency in any given scenario. No wonder policymakers all over are increasingly taking note of this and directing their efforts to address it.

Q. 41 Write a note on the need and prospects of the proposed 'Infrastructure Debt Funds' (IDFs).

Ans. For setting up IDFs the broad guidelines were issued in September 2011 *aimed* to facilitate flow of funds into infrastructure projects. The IDF will be set up either as a trust or as a company. A trust-based IDF would